Homeland Security (CBP and FEMA)

One-page brief

Priority: 4 of 33 (score 3.9). **FY2026 outlays:** $259B (USAspending). **As of:** 2026-10-27. Public data only.

Bottom line

DHS is the biggest new opportunity outside the original eight, for two reasons. First, customs duty evasion has become a top DOJ priority: a joint DOJ and DHS Trade Fraud Task Force started in August 2025, and the largest customs False Claims Act settlement to date ($54.4M) came in December 2025. Evasion through shell importers and false country of origin is a close cousin of SBA shell-entity fraud. Second, FEMA disaster aid has a long fraud history and publishes recipient-level data through OpenFEMA.

Exposure

- Customs: DOJ announced three Task Force resolutions totaling over $100M on 2025-12-18, including Ceratizit ($54.4M, Chinese goods declared as Taiwanese). CBP reports 1,200 investigations from revenue allegations.
- FEMA: Public Assistance reported $0.3B improper in FY2025 (GAO); disaster grant and contractor fraud recur after every major storm.
- DHS's own contracts (CBP, ICE, FEMA) run through FPDS like DoD's.

Public data we can use

- **Vessel manifest data:** public by regulation (19 CFR 103.31) and resold by commercial vendors; names importers, shippers and goods.
- **Census trade statistics:** imports by product and country, for mirror checks against partner-country exports.
- **CBP EAPA and penalty notices**, DOJ customs settlements.
- **OpenFEMA:** Public Assistance projects, Hazard Mitigation awards, and housing assistance aggregates.
- **FPDS / USAspending and SAM.gov** for DHS contractors.

Detection plays

1. **Transshipment signals:** product lines where US imports from a country far exceed that country's recorded exports to the US, then the importers driving the gap.

2. **Shell importers:** new importers of record that share addresses or officers with firms under penalty, or that appear right after a new tariff.
3. **Disaster contractors:** new or out-of-area firms winning FEMA work fast, shared owners across bidders, and payees tied to excluded parties.

First prototype

A tariff-evasion lead list for two high-duty product groups (for example aluminum extrusions and plastic resin), built from mirror trade gaps and manifest data, with importer risk scores and reasons. Validate against settled cases.

Limits

Entry-level customs data (declared value, duties paid) is not public, and good manifest coverage needs a paid vendor. Customs fraud cuts revenue, not spending, so it sits outside improper payment reporting.

Who to take it to

CBP Office of Trade, HSI, the DOJ-DHS Trade Fraud Task Force, FEMA's Fraud Investigations and Inspections Division, and DHS OIG.

Sources

- Akin Gump: DOJ year-end customs fraud enforcement (Jan 2026)
- Morgan Lewis: DOJ establishes Trade Fraud Task Force (Sept 2025)
- 19 CFR 103.31: public vessel manifest information
- GAO-26-108694: FY2025 improper payments
- OpenFEMA data sets